

# Foundation Courses Financial Accounting I

A complete Kerala Polytechnic Commercial Practice handbook covering accounting concepts, double-entry bookkeeping, journalizing, ledger posting, cash book, trial balance, and financial statements.

**Course Code**

1141

**Credits**

4

**Periods**

5/week, 75/semester

## Course Details

**Title:** Foundation Courses Financial Accounting I**Programme:** Commercial Practice**Category:** Program Core**Pattern:** L:4, T:1, P:0

This handbook follows official SITTTR Revision 2021 guidelines with Malayalam support notes, worked examples, and exam questions.

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## OBJECTIVES AND OUTCOMES

# Course Objectives, Prerequisite, Outcomes and Mapping

## Course Objectives

1. To familiarize students with basic accounting concepts, principles, and terminology.
2. To develop skills in recording business transactions using the double-entry system.
3. To train students in preparing subsidiary books, cash books, and trial balance.
4. To provide fundamental knowledge on preparing final accounts of sole proprietorship concerns.

## Course Prerequisite

Basic commercial arithmetic and fundamental understanding of business transactions.

## CO-PO Mapping

CO1 → PO1: 3. CO2 → PO2: 3. CO3 → PO3: 3. CO4 → PO3: 3.

| CO  | Outcome                                                                           | Duration | Level         |
|-----|-----------------------------------------------------------------------------------|----------|---------------|
| CO1 | Explain accounting concepts, conventions, and double-entry system.                | 15 hours | Understanding |
| CO2 | Record business transactions in Journal and post them to Ledger.                  | 20 hours | Applying      |
| CO3 | Maintain subsidiary books and Cash Book for various cash and credit transactions. | 20 hours | Applying      |
| CO4 | Prepare Trial Balance, Trading, Profit & Loss Account, and Balance Sheet.         | 20 hours | Creating      |

## ROADMAP

## Module-wise Learning Roadmap

| Module | Core Topics                                                      | Accounting Records                             | Practical Focus          |
|--------|------------------------------------------------------------------|------------------------------------------------|--------------------------|
| 1      | Meaning, objectives, accounting cycle, GAAP, accounting equation | Basic Equation: Assets = Liabilities + Capital | Classifying transactions |

|   |                                                                                |                           |                          |
|---|--------------------------------------------------------------------------------|---------------------------|--------------------------|
| 2 | Double entry system, Journal entries, Ledger posting, balancing                | Journal & Ledger accounts | Passing compound entries |
| 3 | Cash book (single, double, triple column), purchase/sales day books            | Subsidiary books          | Balancing cash book      |
| 4 | Trial balance objectives, errors, final accounts (trading, P&L, balance sheet) | Financial statements      | Preparing final accounts |

## MODULE 1

# Introduction to Accounting and Accounting Equation

## Module Outcomes

- M1.01 Define book-keeping and accounting.
- M1.02 Distinguish between book-keeping and accounting.
- M1.03 Apply accounting concepts and conventions.
- M1.04 Prove the accounting equation for given transactions.

## Core Concepts

Accounting is the process of identifying, measuring, recording, classifying, summarizing, analyzing, and communicating financial information to decision-makers. Book-keeping is primarily the mechanical recording phase of accounting.

## Accounting Equation

The accounting equation forms the foundation of double-entry bookkeeping: **Assets = Liabilities + Capital**.

**Malayalam Support Note:**  $\text{സംരക്ഷണ സമവാക്യം (Accounting Equation)}$   $\text{സംരക്ഷണ സമവാക്യം (Assets)}$   $\text{സംരക്ഷണ സമവാക്യം (Liabilities + Capital)}$   $\text{സംരക്ഷണ സമവാക്യം}$   $\text{സംരക്ഷണ സമവാക്യം}$ .

**Expected Questions:** Define accounting. State the accounting equation. Explain business entity concept.

## MODULE 2

# Journalizing and Ledger Posting

## Module Outcomes

- M2.01 Apply golden rules of accounting.
- M2.02 Pass journal entries for complex transactions.
- M2.03 Post journal entries to ledger accounts.
- M2.04 Balance ledger accounts.

## Golden Rules of Accounting

| Account Type | Debit Rule          | Credit Rule       |
|--------------|---------------------|-------------------|
| Personal     | Receiver            | Giver             |
| Real         | What comes in       | What goes out     |
| Nominal      | Expenses and losses | Incomes and gains |

## Worked Example

**Problem:** Started business with cash ₹1,00,000 on 1st June 2026.

**Solution:**

Cash A/c ... Dr. 1,00,000  
    To Capital A/c 1,00,000  
(Being business started with cash)

**Expected Questions:** Explain golden rules. What is a ledger? How is balancing done?

### MODULE 3

## Subsidiary Books and Cash Book

## Module Outcomes

- M3.01 Maintain purchase and sales day books.
- M3.02 Record transactions in single and double-column cash books.
- M3.03 Explain petty cash book.

## Cash Book Types

Single column records cash transactions. Double column records cash and bank transactions. Triple column records cash, bank, and discount.

**Expected Questions:** Explain contra entries in cash book. What is a debit note?

### MODULE 4

## Trial Balance and Final Accounts

### Module Outcomes

- M4.01 Prepare Trial Balance from ledger balances.
- M4.02 Identify and rectify accounting errors.
- M4.03 Prepare Trading and Profit & Loss Account.
- M4.04 Prepare Balance Sheet.

### Final Accounts Structure

Trading Account determines Gross Profit. P&L Account determines Net Profit. Balance Sheet shows financial position.

**Expected Questions:** What are the objectives of trial balance? Distinguish between capital and revenue expenditure.

### PRACTICE MODEL PAPER

## Practice Model Paper (Based on Official SITTTR Pattern)

**Time:** 3 Hours | **Max Marks:** 75

### Part A (Answer any 5 questions - 2 marks each)

1. Define book-keeping.
2. State the accounting equation.
3. What is a contra entry?

4. Give two examples of nominal accounts.
5. What is a trial balance?
6. Define working capital.

## Part B (Answer any 6 questions - 5 marks each)

1. Distinguish between book-keeping and accounting.
2. Explain any four accounting concepts.
3. Pass journal entries for purchase of machinery for cash and goods on credit.
4. Explain double-column cash book format.
5. What are the causes of disagreement in trial balance?
6. Prepare a simple trading account with hypothetical figures.

### FULL ANSWER KEY

## Full Answers to Practice Model Paper

**Part A:** 1. Book-keeping is the art of recording business transactions systematically in books of accounts.  
2.  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . 3. Contra entry is an entry where both cash and bank accounts are affected simultaneously. 4. Salaries A/c, Rent Received A/c. 5. Trial balance is a statement of debit and credit balances extracted from ledger accounts to check arithmetical accuracy.